NASDAQ: MDLZ

Mondelēz International, Inc.

Equity Research | Stock Pitch

$57.52	$72.9B	3.52%	BUY
Price	Mkt Cap	Div Yield	Rating

Price Target: **$67.00** **+16% Upside**

"The World's Leading Pure-Play Snacking Company"

March 2026

INVESTMENT THESIS

MDLZ is a structurally mispriced global snacking powerhouse. Trading at ~19x forward earnings — near a 5-year low — the market is overweighting transient cocoa headwinds while undervaluing MDLZ's category-dominant brands, 70% non-chocolate revenue mix, and emerging market optionality. Cocoa normalization in 2026–27 is the catalyst for significant margin expansion and EPS re-rating.

① Brand Moat

Oreo, Cadbury, Milka, Ritz, Toblerone — 6 brands with $1B+ in annual revenue each. These are category-defining franchises with pricing power and decades of consumer loyalty across 150+ countries.

② Cocoa Headwind Is Peaking

2025 margin pressure is largely hedged and well-understood. As cocoa prices normalize in 2026, chocolate segment margins should rebound sharply — a catalyst the market is discounting.

③ Emerging Market Runway

~40% of revenue from EM including Brazil, India, SE Asia. Snacking penetration in these markets is still low. As incomes rise, MDLZ's local and global brand portfolio is uniquely positioned.

Source: Company filings, Bloomberg, analyst estimates

WHY IS THIS MISPRICED?

The Street is making a specific, identifiable cognitive error — and it creates the opportunity.

THE MARKET'S ERROR

Treating a Cyclical Cost as Structural

Cocoa prices hit all-time highs in 2024-25 due to supply disruption in West Africa — a weather and disease-driven event, not a structural shift. The market is pricing MDLZ as if elevated cocoa costs are permanent, compressing the multiple to near 5-year lows. Historical precedent shows commodity cost cycles normalize. This is the classic mistake of extrapolating a temporary headwind into perpetuity.

THE MARKET'S ERROR

Ignoring the 70% Non-Chocolate Portfolio

70% of MDLZ revenue (biscuits, baked snacks, gum, candy) has zero direct cocoa exposure and is growing organically at 4-6%. The market is penalizing the entire company for one segment's input cost. This creates a sum-of-the-parts mispricing where the non-chocolate business alone arguably justifies the current stock price.

THE OPPORTUNITY

Valuation at Historically Cheap Levels — 17% Discount to 5-Year Average P/E

MDLZ's 5-year average forward P/E is ~23x. It currently trades at ~19x — a meaningful discount to its own history — despite the underlying business being stronger, with better EM penetration, a more focused portfolio, and a $9B buyback authorization through 2027.

Source: Company filings, Bloomberg, commodity market data

COMPANY OVERVIEW

Business Description

Mondelēz International is the world's largest pure-play snacking company, operating in 150+ countries with ~90,000 employees. Spun off from Kraft Foods in 2012, it has since focused exclusively on global snacking.

Product categories: Biscuits & Baked Snacks (~50%), Chocolate (~30%), Gum & Candy (~10%), Cheese & Grocery (~10%)

Key brands: Oreo, Ritz, Chips Ahoy!, Clif Bar, Tate's Bake Shop, Cadbury Dairy Milk, Milka, Toblerone, Halls, Sour Patch Kids

Geographic mix: Europe ~37%, NA ~29%, AMEA ~20%, Latin America ~14%

CEO: Dirk Van de Put (since 2017) — focused on RGM discipline and EM expansion

$38.5B
FY2025 Revenue

$72.9B
Market Cap

~$86B
Enterprise Value

28.4%
Gross Margin

3.52%
Dividend Yield

150+
Countries Served

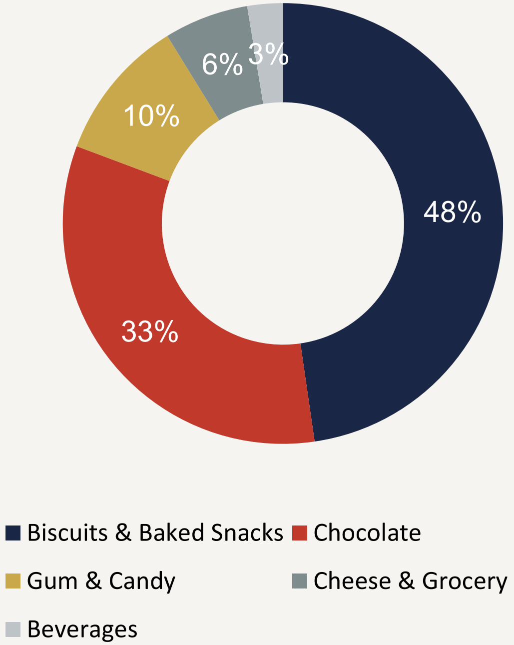
~90,000
Employees

6
Brands >$1B Revenue

Source: Company filings, CNBC, Bloomberg

PRODUCT SEGMENT BREAKDOWN

FY2025 Revenue by Product Category



Biscuits & Baked Snacks

$18.4B · 47.7% · +3.3% YoY

Oreo, Ritz, Chips Ahoy!, LU, belVita, Clif Bar, Tate's

Core growth engine. Zero cocoa exposure. Pricing power intact.

Chocolate

$12.7B · 33.0% · +12.9% YoY

Cadbury, Milka, Toblerone, Cote d'Or, Marabou

Revenue growing but margins pressured by cocoa. Recovery expected 2026-27.

Gum & Candy

$4.1B · 10.5% · +0.5% YoY

Halls, Sour Patch Kids, Trident, Stride

Stable, high-margin category. No commodity exposure.

Cheese & Grocery + Beverages

$3.3B · 8.8% · Stable

Philadelphia, Tang, other local brands

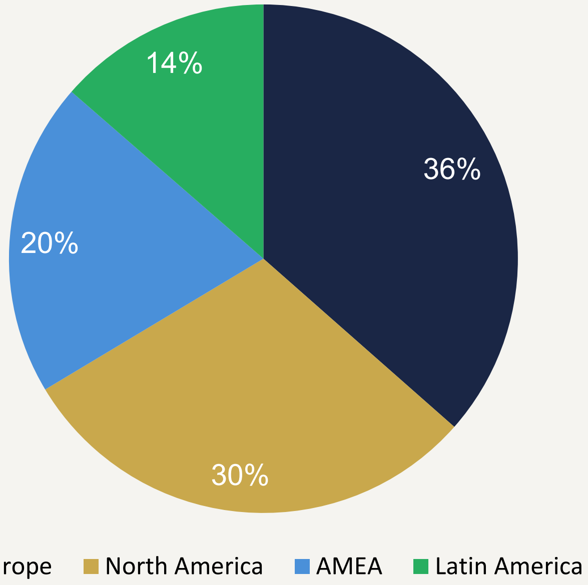
Non-core, being managed for cash. No growth expectation.

Key insight: 67% of FY2025 revenue has zero or minimal cocoa exposure — the market is penalizing all of MDLZ for a one-segment cost issue.

Source: Company FY2025 earnings release, Bullfincher

GEOGRAPHIC REVENUE BREAKDOWN

FY2024 Revenue by Geography



~39% Emerging Markets | ~61% Developed Markets

EM organic growth rate: ~6% vs. DM ~3% — long-duration growth runway

Europe

$13.3B · 36.5% · +5.7% organic

Largest region. Strong brand equity in chocolate (Milka, Toblerone) and biscuits. Mix of developed (W. Europe) and EM (E. Europe, Russia, Turkey). Pricing discipline strong.

North America

$10.9B · 29.9% · +1.5% organic

Oreo, Ritz, Chips Ahoy!, Clif Bar dominant. Slowest growth region — consumer confidence headwinds and GLP-1 watch. Improving as cocoa prices normalize.

AMEA (Asia, ME & Africa)

$7.3B · 20.0% · +6.2% organic

Key long-term growth engine. India, SE Asia, Middle East with rising middle class. Cadbury dominant in India. Boycott headwind manageable — local brands mitigate.

Latin America

$4.9B · 13.6% · +4.6% organic

Brazil and Mexico primary markets. Strong local and global brand presence. FX is the primary risk given peso/real volatility. Structural snacking growth intact.

Source: Company FY2024 annual report, SEC filings

INDUSTRY & COMPETITIVE LANDSCAPE

Global Snack Food Industry

Market Size:

~$1.5T global snack food market (2025E); CAGR ~5% through 2030 driven by EM urbanization and premiumization

Snacking Trends:

Consumer shift from 3 meals to frequent snacking — especially younger demographics. MDLZ's "snack right" positioning aligns directly with this secular trend.

Pricing Power:

Branded snacks have demonstrated consistent ability to push through price increases ahead of inflation, supporting gross margin stability over cycles.

EM Growth:

Developing markets (India, Brazil, SE Asia) are the key growth engine. Rising middle class = rising snack spend. MDLZ has early mover advantage in many of these markets.

Source: Industry reports, company filings

Key Competitors

Nestlé

Largest food co; diversified; lower snack focus

PepsiCo

Frito-Lay strength; N. America-heavy

General Mills

Snack bars/cereal; weaker global reach

Hershey

Pure-play chocolate; U.S.-centric

Lindt

Premium chocolate; niche player

MDLZ EDGE: Only major CPG fully focused on snacking at global scale across both developed and emerging markets

GROWTH CATALYSTS

01 Cocoa Cost Normalization

Record cocoa prices in 2024–25 are the primary overhang. Management has guided for meaningful chocolate margin recovery in 2H26 as prices stabilize. This is the single biggest EPS lever — when it flips, expect re-rating.

02 Revenue Growth Management (RGM)

MDLZ is executing a disciplined playbook: targeted price increases, pack-size optimization, and promotional efficiency. This has protected profitability even through the cocoa cycle and shows the quality of management.

03 Emerging Market Expansion

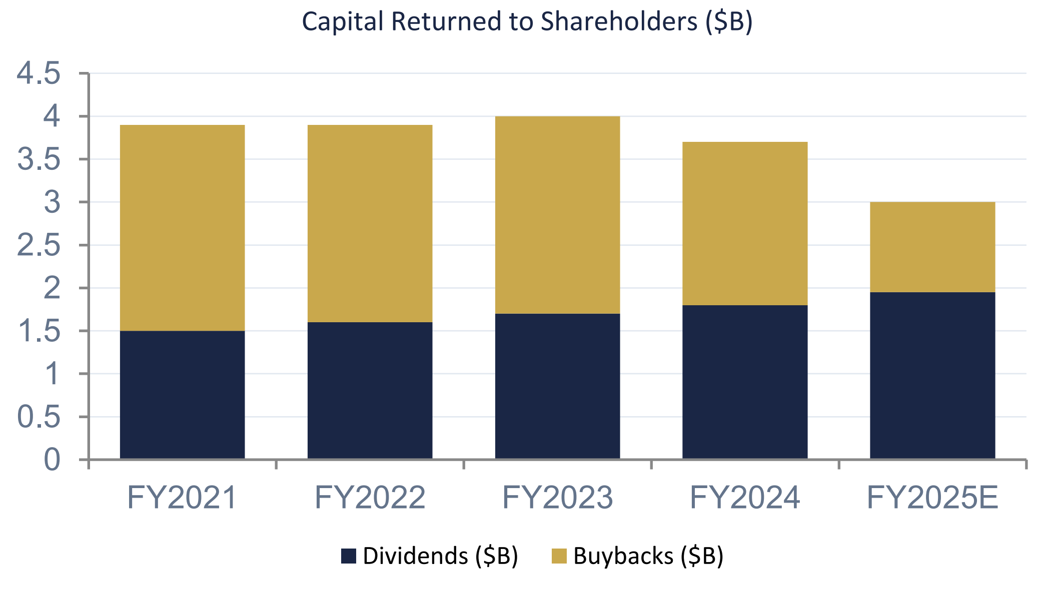
Brazil, India, Southeast Asia driving outsized volume growth. Local brand portfolio + global brands give MDLZ distribution advantages incumbents can't replicate quickly. ~40% of revenue from EM with 5–8% organic growth potential.

04 Portfolio Premiumization

Acquisitions of Clif Bar, Tate's Bake Shop, and Grenade (protein snacks) move MDLZ upmarket. Premium snacks command higher margins and are more resilient to private label competition.

Source: Company filings, management commentary, analyst research

CAPITAL ALLOCATION & MANAGEMENT TRACK RECORD



$9B
New Buyback Authorization
Effective Jan 2025 - Dec 2027

$3.7B
Returned in FY2023
Dividends + share repurchases

10%+
Annual Dividend Growth
Consecutive years of increases

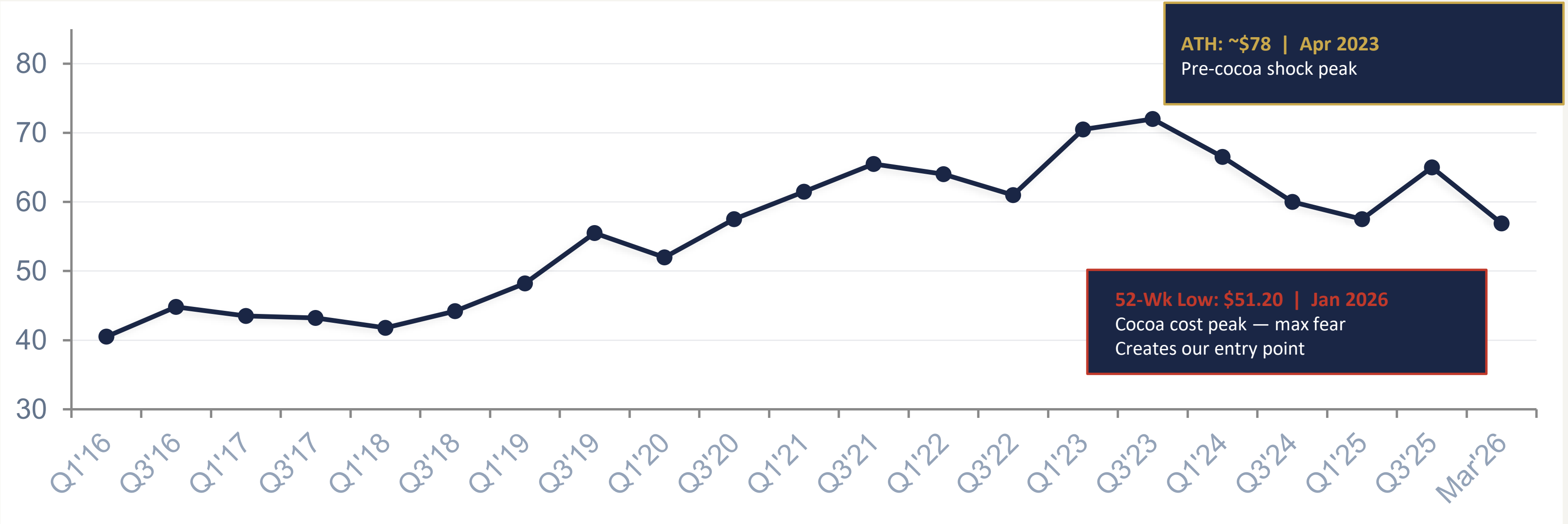
~1.28B
Shares Outstanding
Down from ~1.5B at 2012 spin-off

CEO Dirk Van de Put has consistently delivered on capital allocation commitments since 2017 — growing the dividend annually, executing $3.5-4B in annual shareholder returns, and making strategic bolt-on acquisitions (Clif Bar, Tate's, Grenade) while maintaining investment-grade leverage. The $9B buyback at current prices is highly accretive.

Source: Company filings, SEC 8-K disclosures

SHARE PRICE PERFORMANCE

MDLZ is down ~28% from its 2023 all-time high — entirely driven by cocoa cost headwinds, not by any deterioration in brand strength, market position, or long-term earnings power.

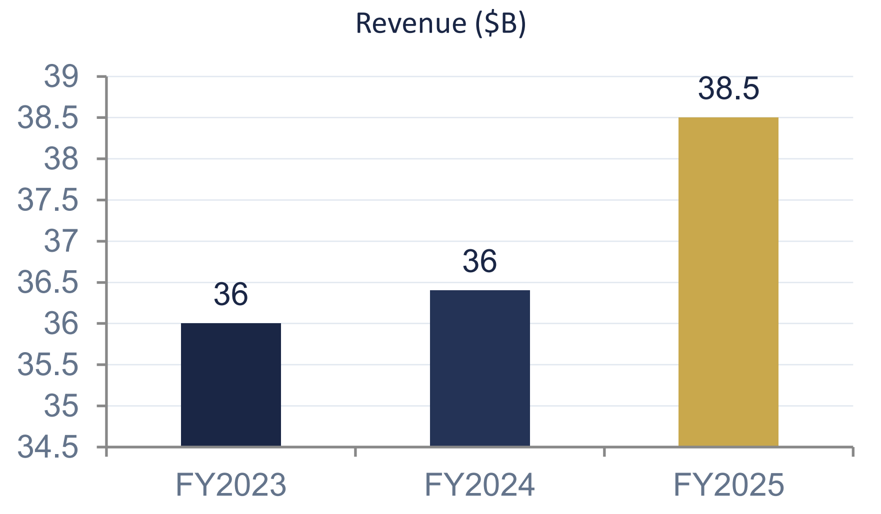


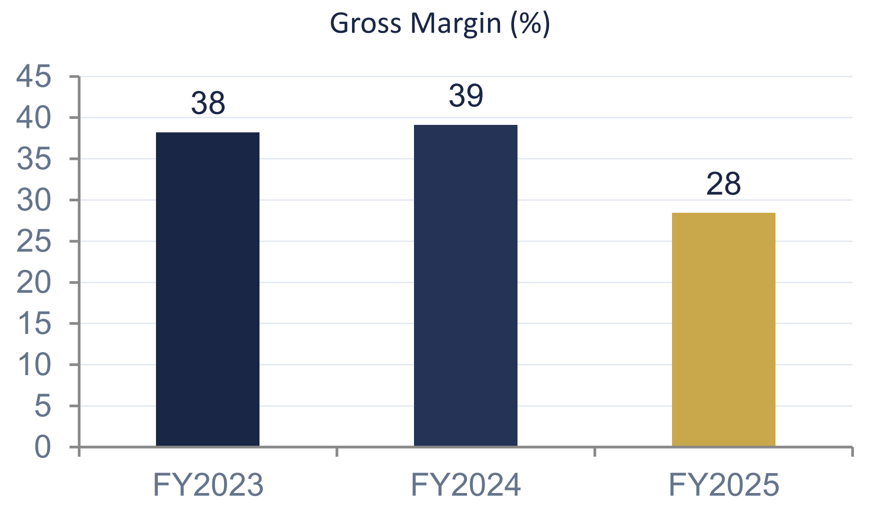
Current: $56.86 → BUY

−12%	**−17%**	**+3%**	**$78.59**	**−28%**
1-Year Return	3-Year Return	5-Year Return	All-Time High	Current vs ATH

Source: Bloomberg, company filings. Prices shown are approximate quarter-end closing prices.

FINANCIAL PROFILE





$38.5B

FY2025 Revenue

+5.7% YoY

$3.0B+

FCF (FY2025E)

Mgmt guidance

$2.00

Annual Dividend

3.52% yield

~2.7x

Net Debt/EBITDA

Manageable leverage

Note: FY2025 gross margin reflects cocoa cost pressure on reported basis. Adj. gross margin was materially higher.

INCOME STATEMENT & FREE CASH FLOW MODEL

	FY2025A	FY2026E	FY2027E	FY2028E
Revenue ($B)	38.5	40.1	41.5	42.5
YoY Growth	5.7%	4.0%	3.5%	2.5%
EBIT ($B)	4.9	5.2	5.6	5.7
EBIT Margin	12.7%	13.0%	13.5%	13.5%
D&A ($B)	1.4	1.4	1.5	1.5
CapEx ($B)	(1.3)	(1.4)	(1.4)	(1.4)
Unlevered FCF ($B)	2.8	3.2	3.9	4.2

GAAP EBIT used as DCF starting point. Unlevered FCF = NOPAT + D&A + deferred taxes – change in NWC – CapEx. Revenue growth reflects 2% organic + 2% FX drag in FY2026, stepping to 3.5% / 2.5% thereafter. EBIT margin: 13.0% (FY26) expanding to 13.5% (FY27-28) as cocoa hedges roll off. WACC: 5.6%, terminal growth: 1.5%.

VALUATION SUMMARY

P/E Relative

FY2026E EPS of $3.03 × 21x peer avg P/E

$64

Peers: PEP, HSY, NESN, MKC, CL — median 21x NTM P/E. MDLZ at ~19x, discount unwarranted given brand quality and EM growth runway.

DCF Analysis

WACC 5.6%, terminal growth 1.5%

$68

FY2026–28 FCF growing from $3.6B to $4.8B. TV represents ~65% of value. Margin recovery is key driver.

EV/EBITDA Comps

FY2027E EBITDA ~$7.1B × 14.5x terminal multiple

$70

DCF-implied terminal multiple of ~14.5x applied to FY2027E EBITDA. Comp median (15.8x) implies further upside. MDLZ currently trades at ~10x NTM EV/EBITDA.

Blended Price Target (Equal-Weighted):

$67.00

+16% upside from current price of $57.52

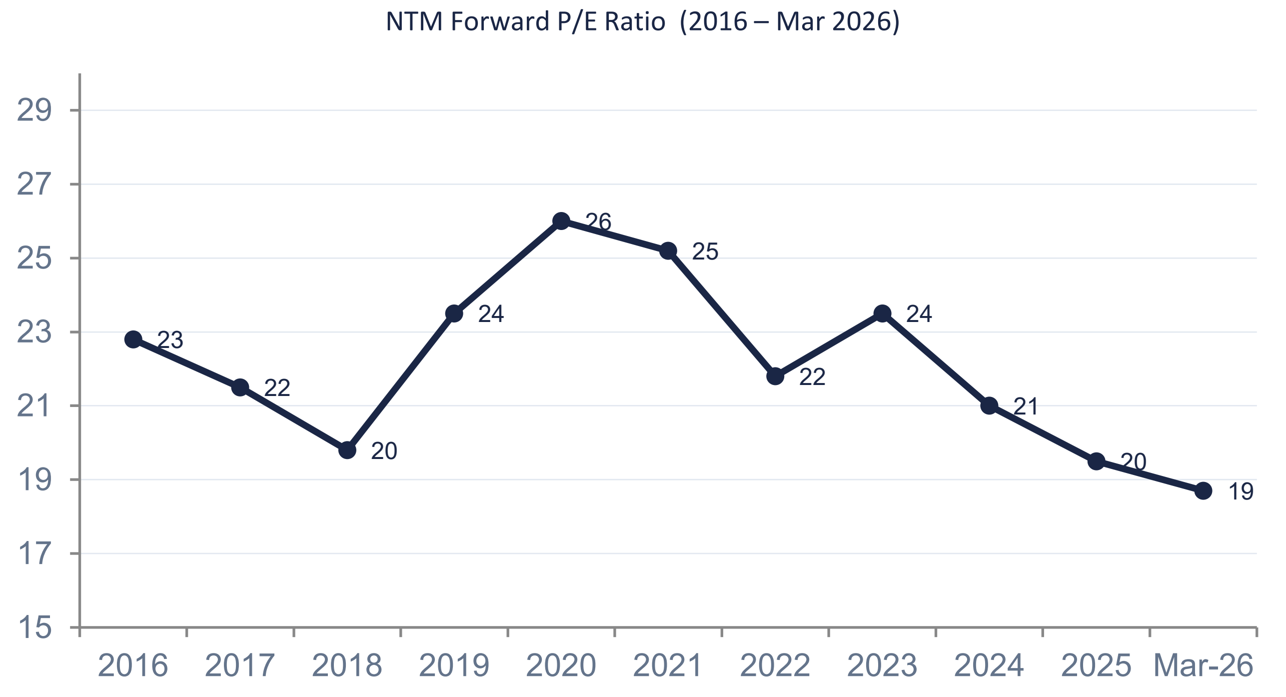
Current Price: $57.52

Forward P/E: 18.7x

Div Yield: 3.52%

52-Wk Low: $51.20

FORWARD P/E — 10-YEAR HISTORICAL VIEW



Historical Avg P/E

3-Year Avg
23.4x
−20% vs current

5-Year Avg
23.2x
−19% vs current

10-Year Avg
22.9x
−18% vs current

Current
18.7x

At 18.7x, MDLZ trades 18–20% below every historical P/E average — a level not seen since 2018. Mean reversion alone to the 10-year average implies ~23% upside.

Source: Bloomberg, FactSet, FinanceCharts.com — 3-yr avg: 23.4x, 5-yr avg: 23.2x, 10-yr avg: 22.9x

BEAR CASE & REBUTTAL

BEAR ARGUMENT	OUR REBUTTAL
Cocoa prices stay elevated permanently, destroying chocolate margins indefinitely.	Cocoa is a cyclical agricultural commodity. West Africa supply disruptions are weather-related. Futures markets and management guidance both point to normalization. MDLZ has substantially hedged 2025 exposure.
GLP-1 drugs (Ozempic/Wegovy) will structurally reduce snack consumption at scale.	Management estimates only 0.5-1.5% long-term volume impact. GLP-1 adoption is price-prohibitive globally. MDLZ's better-for-you lines (Clif, Grenade) directly capture health-conscious consumers.
The $9B buyback is a desperate move masking weak organic growth prospects.	MDLZ generated $3B+ FCF in 2025 with $3.6B+ guided for 2026. The buyback is funded by real cash flow. Historically MDLZ has returned $3.5-4B/yr to shareholders consistently and kept leverage manageable.
EM consumer boycotts and geopolitical risk will impair the international growth engine.	Boycott impact is localized — MDLZ has local brands in affected markets that sidestep global brand perception issues. EM organic growth ex-boycott regions remains 6-8% and is structurally intact long-term.

Source: Company guidance, management commentary, industry research

KEY RISKS

HIGH

Cocoa Price Persistence

If cocoa prices remain elevated beyond 2026, margin recovery thesis breaks down. This is the bear case — no normalization means continued EPS pressure and possible dividend coverage concerns.

HIGH

FX Headwinds

~70% of revenue is outside North America. A strong dollar meaningfully compresses reported results, even if underlying business performs. Management guided ~2.5% drag on net revenue in 2025.

MED

Emerging Market Boycotts

MDLZ has faced regional consumer boycotts (particularly in MENA) tied to brand perception. These remain a headwind in specific geographies though management sees limited structural long-term impact.

MED

GLP-1 / Consumer Health Shift

Long-term secular risk: if GLP-1 drugs (Ozempic, Wegovy) reduce caloric consumption at scale, snack volumes may face a structural headwind. Management estimates 0.5–1.5% volume impact long-term.

LOW

Private Label Competition

Retailers continue expanding private label snack lines at lower price points. MDLZ's brand investments and premiumization strategy are its primary defense. Core portfolio has held share well.

LOW

Tariff / Trade Policy

Changing U.S. import tariff policy creates near-term uncertainty. MDLZ's highly localized manufacturing footprint somewhat mitigates this exposure, but supply chain disruption risk persists.

Source: Company filings, management guidance, analyst research

RISK / REWARD FRAMEWORK

What has to go RIGHT vs. what has to go WRONG — and what is the payoff?

DOWNSIDE

$52

-10%

What has to go WRONG:

- Cocoa elevated through 2027+
- EM boycotts spread materially
- GLP-1 faster-than-expected adoption
- Management cuts dividend
- Multiple re-rates to 15x on EPS cuts

BASE CASE

$67

+16%

What has to go RIGHT:

- Cocoa normalizes 2026-27 as guided
- Non-choc sustains 4-6% organic growth
- $9B buyback reduces share count
- Multiple re-rates to 22-23x avg
- Dividend grows 8-10%/yr with FCF

UPSIDE

$83

+44%

Upside drivers:

- Cocoa normalizes faster (2H25)
- M&A optionality unlocked
- EM exceeds 8% organic growth
- Gross margins exceed 35%
- Multiple re-rates to 25x on EPS beat

Risk/Reward: **+44% upside (bull)** vs. **-10% downside (bear)** — a 4.4:1 favorable asymmetry, with 3.5%+ dividend yield as downside cushion.

CONCLUSION & RECOMMENDATION

BUY

→ MDLZ is a best-in-class snacking company with irreplaceable global brands and 150+ country distribution — a moat that is intact and widening.

→ The market has over-penalized the stock for a transient cocoa cost cycle. With 70% of revenue in non-chocolate categories, the portfolio is more resilient than consensus gives credit for.

→ Margin recovery as cocoa prices normalize in 2026–27 is a highly visible catalyst. Management has a credible, well-communicated playbook.

→ At ~19x forward P/E near a 5-year discount vs. peers, and a 3.5%+ dividend yield, investors are being paid to wait for re-rating.

→ Emerging market organic growth (~5–8%) provides a long-duration growth engine not fully reflected in current valuation.

Price Target: **$67.00** | Current Price: $57.52 | Upside: **+16%** | Rating: **BUY**